

Types of GST exempt supplies [¶32-040]

[¶32-040]

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Both standard-rated and zero-rated supplies are termed “taxable supplies”.

Under s 6(3)(d), an activity is excluded from the term “taxable activity” to the extent to which it involves the making of exempt supplies. Exempt supplies are expressly excluded from GST. The following are exempt:

- # supplies of financial services and goods and services that are reasonably incidental and necessary to a supply of financial services ([¶32-044](#))
- # supplies made by a non-profit body of donated goods and services ([¶32-048](#))
- # residential accommodation supplied by letting or under a licence to occupy and the supply of leasehold land used for residential accommodation ([¶32-052](#))
- # the sale of a house, or the reversionary interest in fee simple estate of leasehold land, that has been used by the same person in the 5 years previous to the sale exclusively for the supply of residential accommodation ([¶32-052](#))
- # supplies of fine metal (other than those that have been zero-rated)
- # penalty or default interest imposed under a contract for the supply of goods and services or under an enactment
- # a penalty imposed on unpaid rates, and
- # a postponement fee for the payment of rates that relates to the financial costs of the local authority arising from the postponement — note that the administrative charge component of the postponement fee is subject to GST.

Law: GST ss [8](#), [14](#)

Last reviewed on 31 December 2025

GST exempt supplies: financial services [¶32-044]

[¶32-044]

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Supplies of financial services, and the supply (by a financial services provider) of goods and services that are “reasonably incidental and necessary” to a supply of financial services, are exempt from GST.

Section 3 lists the following activities as a financial service:

- # the exchange of currency
- # the issue, payment, collection or transfer of ownership of a cheque or letter of credit
- # the issue, allotment, drawing, acceptance, endorsement or transfer of ownership of a debt security
- # the issue, allotment or transfer of ownership of an equity security or a participatory security
- # underwriting or sub-underwriting the issue of an equity security, debt security or participatory security
- # the provision of credit under a credit contract
- # the renewal or variation of a debt security, equity security, participatory security or credit contract
- # the provision, taking, variation or release of a guarantee, indemnity, security or bond in respect of the performance of obligations under a cheque, credit contract, equity security, debt security or participatory security or in respect of any of the activities listed above with the exception of currency exchange
- # the provision, or transfer of ownership, of a life insurance contract or the provision of reinsurance in respect of any such contract
- # the provision, or transfer of ownership, of an interest in a retirement scheme or the management of a retirement scheme
- # the provision or assignment of a futures contract through a defined market or at arm's length if the contract does not provide for the delivery of a commodity or the commodity itself is an exempt supply or the contract provides for a delivery of money
- # the provision of a financial option and, from 30 March 2017, the transfer of ownership of a financial option
- # the payment or collection of any amount of interest, principal, dividend or other amount whatever in respect of any debt security, equity security, participatory security, credit contract, contract of life insurance, retirement scheme or futures contract, or, from 30 March 2017, financial option
- # agreeing to do, or arranging, any of the activities listed above other than advising on those activities
- # the investment in an entity, if the investment is in an equity security equal to or greater than 10% of all equity securities issued by the entity or in a participatory security equal to or greater than 10% of all participatory securities issued by the entity, and the investment allows the investor, or a person acting on behalf of the investor, to influence the management of the business of the entity
- # the evaluation by an investor of an investment referred to above in an entity and the planning or acting by the investor to influence the management of an entity for the principal purpose of preserving or increasing the value of such an investment.

The emphasis is on the “provision” of financial services. Related areas such as financial management may fall outside the term.

The provider of the financial services must contract to supply the whole of an activity and not just part of it. This results from the statutory classification of certain “activities” as financial services with no provision being made for a part of an activity to constitute a financial service.

Common transactions that come under one or more of the activities listed above include the buying and selling of company shares, and the sale of a life insurance policy.

Debt collection services carried out by anyone other than the creditor are specifically excluded from the definition of “financial services” (s 3(4)(b)).

The definition of “financial services” also does not include the assignment or transfer of a right to receive payment for a taxable supply where output tax would not be attributable to any taxable period for the assignment or transfer. For example, a trader who sells goods on credit might include the right to receive

payment for such goods in the sale of the business as a going concern. Because no output tax would be attributable for the right to receive payment (the right being zero-rated), the sale of the right to receive payment would not be a financial service.

General accounting and record package services

The supply of general accounting and record package services to a supplier of financial services or to a customer of that supplier is subject to GST. Such supplies are specifically stated not to be supplies of financial services. This was legislated in response to the Court of Appeal decision in *C of IR v Databank Systems Limited* ([1989](#) [11 NZTC 6,093](#)) (which was later reversed by the Privy Council ([1990](#) [12 NZTC 7,227](#))).

General accounting and record package services are defined to include each of:

- # the provision of any financial clearing system that may form part of a settlement process
- # the posting of transactions to customers' accounts
- # the maintenance of those customers' accounts (for instance, changes of address, preparation of account statements and credit limit compliance reviews)
- # the provision of any ancillary services (such as network management, software support and development) to any of the above.

Excluded are any of the above services that are supplied by a supplier of financial services and are reasonably incidental and necessary to the financial services supplier's supply. Thus, these services, if supplied by a bank, would be exempt. For instance, a charge by a bank to a customer for processing a change to the amount of an automatic payment would not be subject to GST.

Financial planning services

An interpretation statement on the supply of financial planning services published in *Tax Information Bulletin* [¶137-113 Vol 13, No 7](#), July 2001 at 37 provides a summary of how the Commissioner views the GST treatment of various categories of financial planning fees:

<i>Fee category</i>	<i>Services subject to GST</i>
Initial planning fees	Yes
Implementation fees	No
Administration fees	No
Monitoring fees	Yes
Evaluation fees	Yes
Re-planning fees	Yes
Switching fees	No

To determine the type of service a financial adviser is offering to investors, IR will examine the nature of the supply rather than the label given to the supply.

If financial planners charge a global fee (which includes fees for more than one of the above categories), that fee must be apportioned between the categories to ensure the fees are correctly treated for GST purposes.

Because financial services are treated as GST-exempt, financial institutions cannot generally claim GST input tax on the goods and services they buy. However, certain registered persons may elect to zero-rate the supply of financial services. If the election is made, GST input tax deductions may be claimed on the goods and services they buy. See [¶132-300–¶132-340](#).

Managed investment funds

Interpretation statement, [IS 25/05](#), “GST treatment of fees paid in relation to managed funds” outlines the Commissioner’s view on the GST treatment of fees received by a manager of a managed fund and fees received by third-party suppliers (including investment managers) for supplies made to the manager of a managed fund. In summary, the statement concludes the fees payable to the manager of a managed fund for services supplied to the investors/the fund (or the supervisor on the investors’ behalf) are not subject to GST as they are consideration for exempt supplies of financial services under s [14\(1\)\(a\)](#). The supply or supplies made by the manager are exempt from GST as each activity the manager carries on is one of the activities listed in the definition of “financial services” (s [3](#)), or some of the activities the manager carries on are listed in the definition of “financial services” and any other services the manager supplies are reasonably incidental and necessary to the financial services the manager is supplying.

In terms of the GST treatment of outsourced services in relation to a managed fund, the statement concludes that:

- # The outsourced supply of administration services by a third party under a contract with the manager of the managed fund is a taxable supply.
- # The supply of investment management services carried out by a third-party investment manager is either an exempt supply of financial services or a taxable supply of advice, depending on the terms of the investment manager’s appointment and the manner in which this appointment is exercised and supervised.
- # If a third-party investment manager has authority to make and implement investment decisions, the investment manager makes an exempt supply of financial services.
- # If a third-party investment manager’s investment recommendations are subject to a high level of oversight and scrutiny and a manager can veto the recommendations on the merits, the investment manager does not have authority to implement the recommendations, so such an investment manager provides investment advice, which is a taxable supply.
- # However, if a manager has the right to veto an investment decision made by a third-party investment manager, the service may still be an exempt supply of arranging financial services.
- # For arrangements where the manager and supervisor of the managed fund have a wider legal power to override the investment decisions of an investment manager, a court is likely to consider evidence of how an investment manager’s contract is given effect to in practice. Evidence that investment decisions of an investment manager are not closely scrutinised by the manager, and transactions are largely made without any intervention by the manager or supervisor, would support a finding that the investment manager is supplying an arranging service, which would be an exempt supply.

In the operational position, [OP 25/01](#), “Commissioner’s operational position on the GST treatment of fees paid in relation to managed funds” the Commissioner recognises that immediate implementation of the position outlined in [IS 25/05](#) could be difficult for some taxpayers, due to the required changes to, for example, computer systems and/or contractual arrangements. Therefore, resources will not be devoted to determining whether a taxpayer has applied the position in [IS 25/05](#) for the GST periods from 1 April 2025 to 31 March 2026. However, the Commissioner expects taxpayers to adopt the position outlined in [IS 25/05](#) by 1 April 2026.

Law: GST ss [3](#), [14\(1\)\(a\)](#), [\(1B\)](#)

Last reviewed on 31 December 2025

GST and capital raising costs [¶32-045]

[¶32-045]

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Businesses are able to recover GST incurred on goods and services used to raise capital, to the extent that the capital funds their taxable activity (ss [20\(3\)\(hd\)](#) and [20H](#)). The rule applies to GST-registered persons that principally make taxable supplies and that make exempt supplies of certain financial services in the course of a capital-raising exercise intended to fund their taxable activity. Such businesses can claim back the GST on these capital-raising costs when the existing rules under s [20\(3\)](#) do not already allow a deduction. It is intended that the taxpayer should apportion their capital-raising costs based on the registered person's usual ratio of taxable supplies as a proportion of their total supplies, excluding the supplies made for raising capital themselves. The rule applies whether the capital raising is successful or not.

Example:

A Co. is a property developer and makes 80% taxable supplies and 20% exempt supplies. It issues a bond to raise capital to finance the purchase of land. In issuing the bond, it spends \$11,500 in legal fees, including GST of \$1,500. A Co. claims a deduction of \$1,200 (80% of \$1,500) based on A Co.'s usual ratio of taxable to exempt supplies (excluding the bond issue itself).

Because the bond issue is a supply of an exempt financial service and not a zero-rated supply, A Co. is not required to include the amount of consideration for the supply in Boxes 5 and 6 of its GST return.

Example from *Tax Information Bulletin* [¶295-106](#) Vol 29, No 5, June 2017 at 77.

The rule applies to the following financial services:

- # the issue or allotment of a debt, participatory or equity security
- # the renewal of a debt, participatory or equity security
- # the payment of an amount of interest, principal or dividend for a debt, participatory or equity security, and
- # the provision or variation of a guarantee of the performance of obligations in the issue, allotment or renewal of a debt, participatory or equity security.

It does not apply when the registered person has made an election to zero-rate business-to-business supplies of financial services, or an input tax deduction is otherwise available under s [20\(3\)](#). The rule also does not apply to a non-resident registered under s [54B](#) (although if a non-resident registered under s [54B](#) makes supplies of financial services to other non-residents who are outside New Zealand at the time the services are performed, the non-resident can claim back its New Zealand GST costs of raising capital under existing s [20\(3L\)](#)).

The following amendments retrospectively applied for supplies made on or after 1 April:

- # clarified the relevant deduction available is of input tax on supplies of goods and services made to the registered person that are used for the capital-raising transaction
- # provided that a deduction is available for goods and services acquired by the registered person, to the extent that a deduction would be available under the ordinary rules, if the goods and services are used in the person's usual business activity instead of being used in the capital-raising activity
- # clarified that GST-registered persons are entitled to claim input tax deductions for capital-raising costs in situations where the funds raised are used to refinance a taxable activity of the registered person, and
- # ensured that input tax deductions for capital-raising costs are also available in situations where the funds are ultimately used in a taxable activity by a different company in the same group of companies as the company that carried out the capital-raising transaction.

Capital raising by issuing cryptoassets

GST-registered businesses that raise funds through issuing cryptoassets with similar features to debt or equity securities are allowed to claim GST input credits for their capital raising costs. The amendment made to s [20H](#) has retrospective effect from 1 April 2017.

Law: GST ss [20\(3\)\(hd\)](#), [20H](#)

Last reviewed on 31 December 2025

GST exempt supplies: non-profit bodies and donated goods and services [¶32-048]

[¶32-048]

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A supply by a non-profit body of any goods and services donated to it is exempt from GST. The exemption applies to donated services as well as donated goods.

Example:

Mr Burns decides to donate a block of land to the Springfield Church. Utilising the donated services of its parishioners, the church subdivides the land into sections and markets the properties as a new subdivision. All materials used in the subdivision have been donated by local business people. Sales of the sections will be exempt from GST.

In Case X19 ([2006](#)) [22 NZTC 12,255](#), the Taxation Review Authority held that a non-profit-making sports club was not liable for GST on the disposal of a car it had won as a “prize” from its bank.

A non-profit body is an organisation that is carried on other than for the purpose of profit and that is prohibited from making any distribution to its proprietors, members or shareholders. The constitution and rules of an organisation would need to be examined to ascertain whether it falls within the classification. Many charities, associations and clubs may be non-profit bodies for the purposes of GST.

Section [20\(3K\)](#) provides that goods and services used by a GST-registered non-profit body resident in New Zealand are treated as being used in the course or furtherance of the taxable activity of the non-profit body, unless they are used for making exempt supplies or the supplies are used solely in relation to an asset the non-profit body has made an election for under s [20\(3KB\)](#). Thus, if an election is not made, when the non-profit body disposes of the asset it will be treated as disposing of the asset in the course or furtherance of its taxable activity and subject to GST. However, where an asset is used and supplies of goods or services are received by a non-profit body in relation to an activity that is not a taxable activity, the non-profit body may elect to exclude the asset from the operation of s [20\(3K\)](#). The asset is treated as disposed of and reacquired on the election date. The output tax on the disposal is limited by the amount of input tax on supplies that relate solely to the asset and are received by the non-profit body before the election.

Section [88](#) provides for the valuation of supplies of assets used by registered non-profit bodies. Non-profit bodies are bound by a tax position concerning the output tax on the disposal of an asset if the tax position was taken in a return before 15 May 2018. An election is available for the value of a supply made during the period 15 May 2018 to 1 April 2021 as a consequence of the deregistration of the non-profit body. The amount of input tax is limited for a non-profit body, or associated person, if an asset formerly held by a non-profit body for which an election was made under s [20\(3KB\)](#) or [88\(4\)](#) is acquired from an unregistered person within 5 years of the supply of the asset by the original owner.

For a discussion on donated goods and services, and unconditional gifts, see [¶32-027](#).

Law: GST ss [2\(1\)](#) (“donated goods and services”, “non-profit body”), [5\(13AA\)](#), [5\(24B\)](#), [14\(1\)\(b\)](#), [20\(3K\)](#), [20\(3KB\)](#), [20\(3KC\)](#), [88](#)

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GST exempt supplies: residential accommodation [¶32-052]

[¶32-052]

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The supply of accommodation in a “dwelling” is exempt but a supply of accommodation that is in a “commercial dwelling” is taxable for GST purposes.

Meaning of dwelling

For accommodation to be in a “dwelling”, the relevant premises must be occupied by the recipient as their principal place of residence or it must be reasonably foreseeable that this will be the case. The recipient must also be entitled to quiet enjoyment of the property. Accommodation supplied to boarders will also be treated as a supply of accommodation in a “dwelling”. See also *Tax Information Bulletin* [¶231-111 Vol 23, No 1](#), February 2011 at 44.

The exemption for residential accommodation does not extend to the types of accommodation included in the definition of “commercial dwelling” below:

- # a hotel, motel, homestay, farmstay, bed-and-breakfast establishment, inn, hostel, or boardinghouse
- # a serviced apartment managed or operated by a third party that provides services additional to accommodation and for which a resident does not have quiet enjoyment
- # a convalescent home, nursing home, rest home, or hospice
- # a camping ground, or
- # any premises similar to the above.

A supply of accommodation in an apartment that does not meet all of the criteria for being a serviced apartment (because, eg it is managed directly by the owner) may still be a taxable supply if it does not meet the definition of “dwelling”. The supply would be subject to GST if it is made by the registered person in the course or furtherance of a taxable activity.

Supply of accommodation in a holiday home or bach

A holiday home or bach let out for short stays does not appear to fall within the definition of “dwelling” as it is not the principal place of residence of the person renting the holiday home. Therefore, renting a holiday home may not be an exempt activity. Note from 1 April 2024, the supply of accommodation online through an electronic marketplace (eg Air BnB) is subject to the new listed services rules ([¶32-640](#)).

The definition of “commercial dwelling” may encompass a bach if the accommodation includes services similar to those provided in a serviced apartment (eg cleaning, provision of fresh linen and rubbish removal). Where no additional services are provided, the position is less clear. The more conservative view is that there is probably not a supply of a “commercial dwelling” but neither is there a supply of a residential “dwelling”. Rather, there is a supply of accommodation that will be subject to GST. This position is based on the assumption that the guests stay in the property for short-term stays only and the letting of the property is carried out along commercial lines, ie the regular or continuous advertising and renting of the bach will constitute a taxable activity. The owner of the bach will be required to register for GST if there are reasonable grounds for believing that the value of supplies in the course of renting the bach will exceed \$60,000 in a 12-month period.

When considering whether a person breaches the threshold for GST registration, it is important to note the ownership structure of the property. If the person supplying the short-term accommodation is associated to the recipient, the value of the supply is the market value. The effect of this is that, in some circumstances, personal use of a holiday home should be included when calculating the gross income from rental activity.

Example:

Jo and Jenny are beneficiaries of their family trust. The trust owns an expensive holiday home with commanding views of the bay. When Jo and Jenny are not using the property themselves, the property is advertised on Airbnb for \$420 per night (although this rate increases dramatically during peak holiday times). During the 2022–23 year, the house was used as follows:

Short term stays	85 nights @ \$420 per night	\$35,700
Short term stays	28 nights @ \$650 per night	\$18,200
Total		\$53,900

However, Jo and Jenny stayed 24 nights in the house as well. When Jo and Jenny's personal use of the holiday home is taken into account, the GST registration threshold is breached. As beneficiaries, Jo and Jenny are associated to the trust and therefore are treated as paying a market rental for the 24 nights they stayed in the property. If they stayed at non-peak times, their rental for the property ($24 \times \$420 = \$10,080$) pushes the trust over the registration threshold.

GST registration for this type of activity also has other consequences. The property itself will be subject to GST when it is eventually sold or there is a change in use. This is because the property is being used in the course or furtherance of a taxable activity.

Example:

Anna and Max have a GST-registered partnership through which they operate their painting business. They reside in a large apartment in the city, which they own. Two years ago they started renting out 2 bedrooms to Airbnb guests, for which they have accounted for GST and claimed GST on a portion of the running expenses.

In 2017 they sell the property for \$1.4 million to an unregistered purchaser. They must return GST on the sale, despite claiming no GST when they initially purchased the apartment. The apartment has been used in the course of furtherance of their taxable activity of providing short-term accommodation.

IR has released several items on the provision of short-stay accommodation by taxpayers, either in their own property or in a separate property. The items look at a variety of different scenarios in which accommodation is provided, including boarding services and properties advertised on Airbnb and Bookabach ([¶15-232](#), [¶15-695](#) and [¶10-113](#)). [QB 19/09](#), "Can I register for GST if I supply short-stay accommodation to guests in my home or holiday home?" considers whether hosts who provide short-stay accommodation in their home or property can register for GST. [QB 19/09](#) confirms that the supply of short-stay accommodation (as defined in the item) is a taxable supply. Short-stay accommodation is defined in [QB 19/09](#) as accommodation provided for up to 4 weeks in a dwelling that is not the guest's principal place of residence and does not include accommodation provided to residential tenants, boarders or care home residents. It also does not include student or emergency accommodation. Provided there is a taxable activity of continuously or regularly supplying (or intending to supply) short-stay accommodation, a person may voluntarily register for GST. If the supplies exceed \$60,000, the person must register for GST. The item notes the on-going requirements if a person registers for GST and that when the property is sold or the activity ceases, it is likely there will be GST to pay.

Interpretation statement, [IS 20/04](#), "Goods and services tax: GST treatment of short-stay accommodation" confirms the supply of short-stay accommodation will not be an exempt supply and then discusses the requirements for registration, the main consequences of registration and what happens when the property is sold or the short-stay accommodation activity ceases.

Leasehold land used for residential accommodation

No GST is charged on the supply of bare leasehold land to the extent that it is used for residential rental accommodation erected on the land (s [14\(1\)\(ca\)](#)). Public ruling [BR Pub 08/01](#), "GST — when the supply of leasehold land is an exempt supply" clarifies that the exemption applies only to "ground leases", ie where leasehold land is supplied separately from any buildings or improvements to the land. A grant or sale of the lease is specifically excluded under s [14\(1\)\(ca\)](#). The ruling also outlines the Commissioner's view on methods of apportionment. Apportionment is required where parts of a leased property are used for a mixture of residential accommodation and other purposes.

Leased property used for accommodation

Section [14\(1\)\(cb\)](#) specifically excludes from GST supplies of property by way of lease where the property is to be used for the principal purpose of residential accommodation by any person, ie not necessarily the recipient of the supply. The provision is designed to exempt certain supplies that would not be covered by s [14\(1\)\(c\)](#). For example, where a company leases a commercial building and sublets the building to residential tenants, the head lease may not be caught by s [14\(1\)\(c\)](#) because it is not, arguably, a supply of residential accommodation; rather, it is a supply of property that is to be used for accommodation.

Sale of rented residential accommodation

No GST is charged on the sale of a dwelling, or the sale of the reversionary interest in the fee simple estate of leasehold land, that has been owned by one person and used exclusively for letting for residential accommodation under a lease or a licence for at least 5 years immediately preceding the sale (s [14\(1\)\(d\)](#)). This exemption would apply when a lessee of leasehold land purchased the land outright from the lessor. The exemption applies only to the sale (as opposed to the supply) of such dwellings. The gifting of such a dwelling would not, therefore, have exempt status. From 26 June 2019, the exemption in s [14\(1\)\(d\)](#) has been amended so that it also exempts the sale of property used for 5 years or more for the making of supplies referred to in s [14\(1\)\(cb\)](#), ie where the property has been sublet to tenants for 5 years or more.

The exemption applies if the property has been used exclusively for residential letting for a 5-year period. IR considers that it therefore does not apply if there is a mixed-used (taxable/exempt) purpose, such as when a property developer rents out a property pending its sale. The exemption also requires that only one person has owned the property for the 5-year period.

Interpretation statement [IS 07/01](#) "GST treatment of sale of long-term residential rental properties" concerns the following aspects of the interpretation of s [14\(1\)\(d\)](#):

- # the requirement that the sale be made in the course or furtherance of a taxable activity
- # what constitutes exclusive use for residential rental purposes.

For s [14\(1\)\(d\)](#) to apply, IR considers that the following criteria must be satisfied:

- # the supply must be by way of sale
- # the supply must be by a registered person in the course or furtherance of any taxable activity
- # the property must have been used for the purpose of supplying residential accommodation by way of hire, service occupancy agreement or licence
- # the property must have been used exclusively for that purpose, and
- # the vendor must have used the property for that purpose for a period of not less than 5 years up to the date of the sale.

From 26 June 2019, the exemption in s [14\(1\)\(d\)](#) has been amended so that it also exempts the sale of property used for 5 years or more for the making of supplies referred to in s [14\(1\)\(cb\)](#), ie where the property has been sublet to tenants for 5 years or more.

Residential properties used for transitional housing

In 2024 IR issued 3 binding rulings on the GST implications for a landlord that leases a residential property to an organisation providing emergency or transitional housing, which then sub-leases the property to tenants. The binding rulings were accompanied by a Commissioner's operational position statement, [OP 24/01](#) "Commissioner's operational position on the GST treatment of landlords supplying properties for use as transitional housing". The operational statement states that where previous supplies made by landlords were incorrectly treated as taxable supplies (but were exempt supplies), the Commissioner does not expect assessments to be corrected to reverse input tax deductions if the landlord is subsequently making taxable supplies because of the organisation's new arrangements. In all other circumstances, landlords providing accommodation that is used as transitional housing should seek advice to determine the correct tax position.

The rulings conclude that, for GST-registered landlords:

- # in cases where the tenant has the right to quiet enjoyment of the property, the supply is exempt from GST under s [14\(1\)\(cb\)](#) of the GST Act ([BR PUB 24/01](#), “GST – Exempt supplies of properties used for transitional housing”)

- # in cases where the tenant does not have the right to quiet enjoyment of the property, the supply is standard rated for GST ([BR PUB 24/02](#), “GST – Exempt supplies of properties used for transitional housing (no quiet enjoyment)”) and

- # in cases where the property has communal kitchens or lounge, or is a unit within a commercially operated motel, the property is a “commercial dwelling” and the supply is standard rated for GST ([BR PUB 24/03](#), “GST – Taxable supplies of properties used for transitional housing (commercial dwelling)”).

Although supplies of domestic goods and services to an individual residing in a commercial dwelling can be accounted for at a reduced value under s [10\(6\)](#) if the person’s stay exceeds 4 weeks, the provision does not apply in this instance. This is because the landlord is supplying the property to the housing organisation; no supplies of domestic goods and services are being supplied directly by the landlord to the tenant.

The rulings apply where the organisations have entered into a Transitional Housing Services Agreement with the Ministry of Housing and Urban Development’s Transitional Housing Programme (HUD) from 1 July 2023. While these rulings do not apply to other landlords, they may gain some assistance in determining their GST treatment from the concepts in the rulings. The rulings apply for the period beginning on 7 June 2024 and ending on 6 June 2027.

Law: GST ss [2\(1\)](#) (“[commercial dwelling](#)”, “[dwelling](#)”), [14\(1\)\(c\)](#), [\(ca\)](#), [\(cb\)](#), [\(d\)](#)

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